



Cambridge International Examinations  
Cambridge Ordinary Level

**ECONOMICS**

Paper 1 Multiple Choice

**2281/11**

**May/June 2018**

**45 minutes**

Additional Materials: Multiple Choice Answer Sheet  
Soft clean eraser  
Soft pencil (type B or HB is recommended)



**READ THESE INSTRUCTIONS FIRST**

Write in soft pencil.

Do not use staples, paper clips, glue or correction fluid.

Write your name, Centre number and candidate number on the Answer Sheet in the spaces provided unless this has been done for you.

**DO NOT WRITE IN ANY BARCODES.**

There are **thirty** questions on this paper. Answer **all** questions. For each question there are four possible answers **A, B, C** and **D**.

Choose the **one** you consider correct and record your choice in **soft pencil** on the separate Answer Sheet.

**Read the instructions on the Answer Sheet very carefully.**

Each correct answer will score one mark. A mark will not be deducted for a wrong answer.

Any rough working should be done in this booklet.

*Done*

This document consists of **10** printed pages and **2** blank pages.



- 1 The Norwegian government chose to spend the profits from oil on stocks, bonds and property. The possibility of improving domestic infrastructure, therefore, was not taken.

Which economic concept does this best illustrate?

↳ next best alternative forgone

- A cost of production (cost incurred to produce)
- B finite resources (limited resources)
- ✓ C opportunity cost (stocks, bonds, property vs infrastructure)
- D production possibility frontier (shows combination of output)

- 2 What would be classified by an economist as the factor of production known as land?

Natural resource

- ✓ A a discovery of oil in the South China sea Natural resource
- B an oil rig bought by an oil company
- ✓ C money held by the oil companies in their bank accounts
- D the productivity of oil workers Labour

Money is not a factor of production

- 3 What is the cause of the economic problem facing all countries?

- A climate change and global warming
- B significant quantities of unemployed resources
- C uneven distribution of income and wealth
- ✓ D unlimited wants in relation to limited resources

Unlimited wants, limited resources, scarcity, choice!

Unrelated to basic economic problem

Basic economic problem, this leads to scarcity

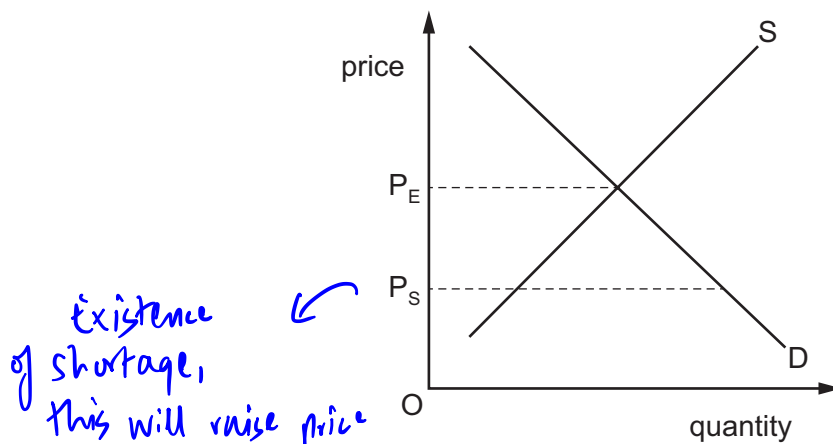
- 4 Which activity takes place in the tertiary sector?

- A assembling computers (secondary) ↳ Service sector
- ✓ B giving legal advice (service)
- C harvesting grain
- D making bread

Primary

Below equilibrium

- 5 In the diagram, suppliers have set the price of a product at  $P_S$ . Economic theory predicts that the equilibrium price of the product will rise to  $P_E$ .



What is the reason for this movement in price?

- A Demand for the product will increase. *Price factor, movement. Also, price will rise, DDV*
- B No more of the product can be supplied. *At a higher price, DS ↑*
- ✓ C Some consumers are willing to pay higher prices. *Yes, shortage, high price, new equilibrium*
- D Suppliers are facing rising costs. *Supply shifts leftward*
- 6 A government approved the construction of a new railway line connecting major cities. It would be built by a private company but be funded partly through taxation. It would create many jobs. People living on the route worried about the harm to their environment.

Which concepts are directly involved in this statement?

- A excess demand and public corporation *only government*
- B government subsidies and perfect competition *No*
- C market system and income distribution *D=S*
- ✓ D private benefit and external cost

Yes

Yes

Unrelated

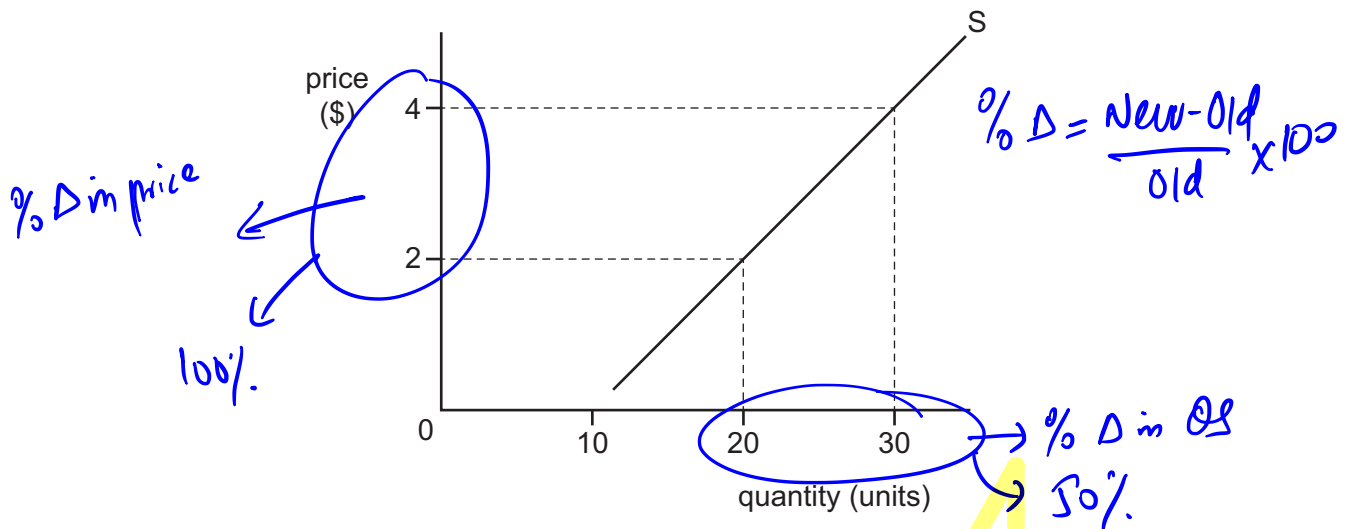
1000s of producers  
producing and selling  
standardized products

External cost (cost to the third party for which no appropriate compensation will be paid)

Jobs, private benefit.

$$PES = \frac{\% \Delta \text{ in Qs}}{\% \Delta \text{ in price}} = \frac{50}{100} = 0.5$$

7 The diagram shows the supply curve for a good.



What is the price elasticity of supply when the price rises from \$2 to \$4?

- A 0.2      B 0.5      C 1      D 2

8 What is a function of a central bank?

- A accepting deposits from the public *Commercial*
- B determining tax rates *Government*
- C implementing monetary policy *Central Bank (Money supply, interest rate, Exchange rate)*
- D lending to businesses *Commercial*

9 What is likely to lead to an increase in the wages of university lecturers?

- A an increase in the fringe benefits provided to university lecturers *Non-monetary benefits ↑*
- B an increase in the tuition fees paid by university students *Demand ↓*
- C government policies reducing the length of the training for university lecturers *Less training wages ↓*
- D increased demand from students to study at university *Demand ↑ (University) Demand ↑ (lecturers), wages ↑*

10 When is a trade union likely to have more power to increase its members' wages?

- A when imports are increasing *Demand ↓ (local products), less workers required.*
- B when labour supply is increasing *Supply ↑, surplus of workers, wages ↓*
- C when output is increasing
- D when unemployment is increasing *unemployment ↑, surplus of workers, wages ↓*

*output ↑, profit ↑, negotiating power ↑, wages ↑*

Whenever data is in %, you can't comment about the total or number.

5

- 11 The table shows the percentage (%) of income saved by different age groups.

| age (years)       | 15–29 | 30–39 | 40–49 | 50–64 | 65+ |
|-------------------|-------|-------|-------|-------|-----|
| % of income saved | –30   | –5    | +15   | +30   | –10 |

What can be concluded from the table?

A Over the age range shown total savings equalled total dissavings. *Data in %*

B The 15–29 age group has the lowest level of income. *Data in %*

C The 50–64 age group saves the highest percentage of its income. *+30%, correct*

D The 65+ age group has a lower income than the 30–39 age group. *Data %*

*Highest market share 1000s of producers*

- 12 Which characteristic can exist both in monopoly and in perfect competition?

A freedom of entry *Perfect competition*

B many buyers *→ Both in monopoly and perfect competition*

C many sellers *perfect competition*

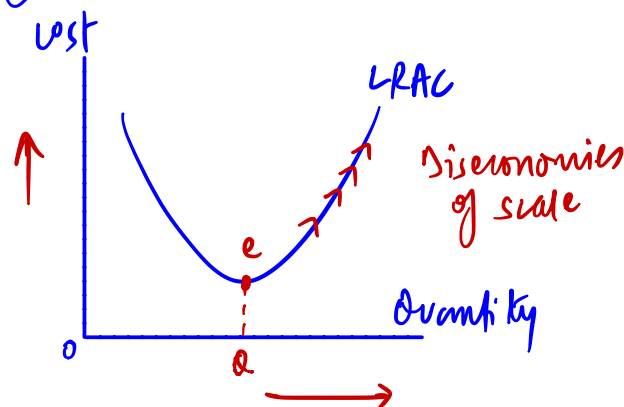
D perfectly elastic demand curve *perfect competition*

*↳ Horizontal line*

- 13 An industry is experiencing diseconomies of scale. *(Average cost or per unit cost ↑)*

What will be happening to long run average cost and total cost? *→ Both increasing.*

|   | long run average cost | total cost   |
|---|-----------------------|--------------|
| A | decreasing            | decreasing   |
| B | decreasing            | increasing ✓ |
| C | increasing ✓          | decreasing   |
| D | increasing ✓          | increasing ✓ |



(Price)

14 A firm that sells its product for \$6 a unit has the following total costs.

|                  |    |     |     |     |
|------------------|----|-----|-----|-----|
|                  | 0  | 10  | 20  | 30  |
| output (units)   | 0  | 10  | 20  | 30  |
| total costs (\$) | 40 | 100 | 120 | 150 |

ATC 0 10 6 5  
 Total revenue 0 60 120 180  
 TVC 0 60 80 110

Which statement is correct?

- A Average cost is lowest when 10 units are produced. *lowest at 30 units*
- B The firm does not make any profit when 20 units are sold. *correct, TR = TC (120 = 120)*
- C The firm has no fixed costs. *fixed cost is 40, at zero level of output*
- D Total variable costs fall continuously over these outputs. *rise continuously*

How did I find VC? FC = 40, subtract from TC, find VC.  $TC = FC + VC$   
 $TC - FC = VC$

15 Which statement about fixed costs is correct?

- A They exist only in the long run. *No*
- B They include raw material and direct labour costs. *No, this is variable cost*
- C They increase at the same rate as output. *No*
- D They must be paid even if there is no output. *Yes*



16 What would a government reduce as part of an expansionary monetary policy to increase employment?

- A government spending *(fiscal)*
- B the money supply *↓, contractionary*
- C the rate of interest *↓, C↑, I↑, AD↑, expansionary*
- D unemployment benefit, not part of monetary  
*part of government spending.*

*Money supply ↑  
 Interest rate ↓*

17 What is an aim of government policy?

- A income tax *(Tools, not aim)*
- B interest rates *(Tools, not aim)*
- C stable prices, low rate of inflation.
- D unemployment *(issue, not aim)*

*A: Fiscal policy  
 B: Monetary policy*

18 The table shows the amount of tax to be paid at different weekly incomes.

|                    |     |     |     |     |
|--------------------|-----|-----|-----|-----|
| weekly income (\$) | 100 | 150 | 200 | 250 |
| weekly tax (\$)    | 20  | 30  | 36  | 40  |

Average rate of tax 0.2 0.2 0.18 0.16

Which statement describes the system of income tax as income rises over this range?

- A It is progressive throughout. *would have increased*
- B It is proportional then becomes progressive. *(same, then rise)*
- ☒ C It is *same* proportional then becomes *then falls* regressive. *(correct)*
- D It is regressive throughout. *fall only*

19 Which situation involving the building industry is most likely to be investigated by a government body set up to control restrictive practices?

- A a builder purchasing a plot of land for development of housing
- ☒ B groups of suppliers of building materials agreeing to fix prices
- C several builders bidding for the same contracts
- D several builders using different sources of supply

*concern for government*  
*fix price can exploit consumers, forming monopoly*

20 An economy is experiencing two consecutive quarters of negative economic growth.

What is this economy experiencing?

- A budget deficit *(Government Spending > Tax revenue)*
- B inflation
- ☒ C recession
- D trade deficit *(Import expenditure > export revenue)*

*Recession*  
*Downturn or down swing in economic cycle.*

*Government Statisticians Survey Households Basket of goods Expenditure weights Base years Cost of living*

21 What is included in the calculation of a consumer prices index (CPI)?

- ☒ A the price of a basket of goods and services *correct*
- B the price of exports and the price of imports
- C the value of the currency on international markets
- D the wages of consumers

*Unrelated to CPI/RPI*

I↓, AD↓, Unemployment ↑<sup>8</sup>

22 There was a fall in investment spending by businesses in the third quarter of 2015.

What would be the likely result of this?

- A an increase in economic growth *Decrease*
- B an increase in exports *Decrease*
- C an increase in incomes *Decrease*
- D an increase in unemployment *correct*

23 The table shows units of output, value of output and number of people employed in an industry over three years.

|        | output<br>(units, millions) | output value<br>(\$ millions) | number employed<br>(000) |
|--------|-----------------------------|-------------------------------|--------------------------|
| year 1 | 10                          | 10                            | 5                        |
| year 2 | 21                          | 25                            | 7                        |
| year 3 | 32                          | 40                            | 8                        |

Productivity

2  
3  
4 ↑

What can be concluded from the table?

- A Inflation has increased. *No information regarding price level*
- B Productivity has increased. *Yes → Total output / Number employed*
- C Profit has increased. *require TR and TC*
- D Working population has increased.

*↳ No data regarding total population*

24 What is found in a typical developed country?

- A fast rate of economic growth *(Not always)*
- B high population growth
- C limited use of technology
- D significant tertiary employment *Yes! less in primary and secondary.*

25 Which characteristic will show that a country has significant absolute poverty?

- A A majority of the population will have less than average income. *No*
- B Basic living needs are not being met. *See what is absolute poverty*
- C Most people do not have mobile phones. *irrelevant*
- D There is a high number of people living in rural areas. *No*

*< \$1.90  
deprived of  
basic necessity*

- 26 The government of a developing country allows a multinational mining company to mine minerals in order to improve the standard of living of the local people.

Which action by the multinational company (MNC) will not lead to an improvement in the standard of living of the local people?

- A building roads to assist transport
- B exporting mineral ore
- C providing skills training
- ✓ D returning profits overseas

Improve

A: geographical mobility ↑  
B: Trade balance improves  
C: potential ↑

Doesn't benefit us, benefits MNC's home country.

Removal of protectionism

- 27 A country has decided that it wants to increase free trade with its trading partners.

Which measure would help it achieve this objective?

- ✓ A a higher quota on imported cars
- B a subsidy to domestic car producers
- C an embargo on cars produced in other countries
- D higher tariffs on imported goods

More cars can now be imported, restrictions ↓

Tools of protectionism

- 28 In 2012 the UK held the Olympic Games, which attracted a large number of visitors from foreign countries.

Inflow (Export) (+ve)

Which item of the UK's current account balance will have benefited directly from this event?

- A export trade in goods
- ✓ B export trade in services (use of airline)
- C import trade in goods
- D import trade in services

Depreciate

- 29 The Mexican currency (the peso) has fallen in value against the US dollar.

What will be the effect of this on the Mexican economy?

- A a decrease in tariffs on imports, Irrelevant
- ✓ B a decrease in the price of exports Depreciate, X price ↓
- C a decrease in the price of imports, no, increase
- D a decrease in the volume of exports no, increase, X price ↓, X quantity ↑

volume (Quantity)

30 The table shows the rice yield in four countries.

| country    | rice yield<br>(kilos per <u>hectare</u> ) |
|------------|-------------------------------------------|
| Japan      | 64                                        |
| China      | 53                                        |
| Bangladesh | 20                                        |
| Thailand   | 20                                        |

What may be concluded from this information?

A Bangladesh and Thailand produce the same amount of rice.

*Data in per hectare*

B Japan produces more than three times as much rice as Bangladesh.

*Data in per hectare*

✓ C Japan produces the largest amount of rice per hectare.

*Yes, option in per hectare*

D Japan produces the largest amount of rice per person employed.

*↳ No information available*

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